

# **Obsidian Solutions Limited**

Annual report and financial statements

Registered number 09737564

31 March 2024

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## Company information

|                          |                                                                                   |
|--------------------------|-----------------------------------------------------------------------------------|
| <b>Directors</b>         | JC Paton<br>LJ Griggs<br>GA Cook                                                  |
| <b>Company number</b>    | 09737564                                                                          |
| <b>Registered office</b> | 60 Gresham Street<br>London<br>England<br>EC2V 7BB<br>United Kingdom              |
| <b>Auditor</b>           | KPMG LLP<br>EastWest<br>Tollhouse Hill<br>Nottingham<br>NG1 5FS<br>United Kingdom |
| <b>Banker</b>            | HSBC Bank UK plc<br>1 Centenary Square<br>Birmingham<br>B1 1HQ<br>United Kingdom  |

## Directors' report

The Directors present their report and the unaudited financial statements for the year ended 31 March 2024.

### Principal activities

The principal activity of the Company continued to be the development and provision of software and related services for the asset and wealth management industry.

### Results and dividend

For the year ended 31 March 2024 (FY 24<sup>1</sup>), the Company recorded revenue of £541,000 (FY 23: £690,000). This is a result of a lower level of software licensing and implementation projects worked in the year, albeit at an improved gross margin of 67.7% (FY 23: 71.2%). Profit after tax decreased to £96,000 (FY 23: £99,000). The Company continues to hold significant net assets of £777,000 (FY 23: £681,000), including £282,000 (FY 23: £275,000) of cash.

Directors have not recommended the payment of a final dividend (FY 23: £nil).

### Future developments

Following the end of the reporting period, as disclosed in note 14, trading activity in the Company ceased, with the operations transferred to other Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions and is a commercial decision taken regarding the Group's strategy.

### Directors

The Directors who held office during the year and at the date of this report were as follows:

JC Paton  
LJ Griggs  
GA Cook

### Political contributions

The Company made no political donations and incurred no political expenditure during the year (FY 23: £nil).

### Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

### Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not repeated those disclosures required in relation to the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is included on pp 46-51 of the Group's Annual Report & Accounts 2024, which are available on the Group's website.

### Audit

For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

<sup>1</sup> FY 24 is the financial year covering the 12 months to 31 March 2024. By comparison, FY 23 is the previous financial year covering the 12 months to 31 March 2023. FY 25 is the subsequent financial year covering the 12 months to 31 March 2025.

<sup>2</sup> Group refers to the Company's ultimate parent as at 31 March 2024, Alpha Financial Markets Consulting plc, and its subsidiaries.

## **Directors' report (continued)**

By order of the Board.



**Greg A Cook**

Director

60 Gresham Street  
London EC2V 7BB

17 December 2024

## **Statement of Directors' responsibilities in respect of the Directors' report and the financial statements**

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 Reduced Disclosure Framework.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

**Profit & loss account**  
*for the year ended 31 March 2024*

|                               | Note | Year ended<br>31 March 2024<br>£000 | Year ended<br>31 March 2023<br>£000 |
|-------------------------------|------|-------------------------------------|-------------------------------------|
| Revenue                       | 2    | 541                                 | 690                                 |
| Cost of sales                 | 4    | (175)                               | (199)                               |
| <b>Gross profit</b>           |      | <b>366</b>                          | <b>491</b>                          |
| Administration expenses       | 3    | (239)                               | (367)                               |
| <b>Operating profit</b>       |      | <b>127</b>                          | <b>124</b>                          |
| Finance expense               |      | -                                   | (2)                                 |
| Finance income                |      | 1                                   | -                                   |
| <b>Profit before taxation</b> |      | <b>128</b>                          | <b>122</b>                          |
| Taxation                      | 6    | (32)                                | (23)                                |
| <b>Profit for the year</b>    |      | <b>96</b>                           | <b>99</b>                           |

In both the current and preceding year, the Company made no acquisitions. No discontinued operations have been presented in these financial statements.

There was no other comprehensive income in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

## Balance sheet

as at 31 March 2024

|                                         | Note | As at<br>31 March 2024<br>£000 | As at<br>31 March 2023<br>£000 |
|-----------------------------------------|------|--------------------------------|--------------------------------|
| <b>Non-current assets</b>               |      |                                |                                |
| Property, plant and equipment           | 7    | 2                              | 4                              |
| Capitalised implementation costs        | 8    | 1                              | 11                             |
| Amounts owed by Group undertakings      | 8    | -                              | 697                            |
|                                         |      | <u>3</u>                       | <u>712</u>                     |
| <b>Current assets</b>                   |      |                                |                                |
| Trade and other receivables             | 8    | 960                            | 59                             |
| Cash and cash equivalents               | 9    | 282                            | 275                            |
|                                         |      | <u>1,242</u>                   | <u>334</u>                     |
| <b>Current liabilities</b>              |      |                                |                                |
| Trade and other payables                | 10   | (465)                          | (349)                          |
|                                         |      | <u>(465)</u>                   | <u>(349)</u>                   |
| <b>Net current assets/(liabilities)</b> |      | <u>777</u>                     | <u>(15)</u>                    |
| Total assets less current liabilities   |      | <u>780</u>                     | <u>697</u>                     |
| <b>Non-current liabilities</b>          |      |                                |                                |
| Deferred income                         |      | (3)                            | (16)                           |
| <b>Net assets</b>                       |      | <u>777</u>                     | <u>681</u>                     |
| <b>Capital and reserves</b>             |      |                                |                                |
| Issued share capital                    | 11   | -                              | -                              |
| Share premium                           |      | 689                            | 689                            |
| Retained earnings                       |      | 88                             | (8)                            |
| <b>Total shareholders' equity</b>       |      | <u>777</u>                     | <u>681</u>                     |

For the year ending 31 March 2024, the Company was entitled to exemption from audit under s479A of the Companies Act 2006. The Directors acknowledge their responsibilities under the Companies Act 2006 regarding accounting records and the preparation of these accounts, and confirm the members of the Company have not required an audit of these accounts.

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 17 December 2024. They were signed on its behalf by:

**Greg A Cook**

Director

Company registered number: 09737564

**Statement of changes in equity**  
*for the year ended 31 March 2024*

|                                                  | Issued<br>share capital<br>£000 | Share<br>premium<br>£000 | Retained<br>earnings<br>£000 | Total<br>Shareholders' equity<br>£000 |
|--------------------------------------------------|---------------------------------|--------------------------|------------------------------|---------------------------------------|
| <b>As at 1 April 2022</b>                        | -                               | 689                      | (107)                        | 582                                   |
| <b>Total comprehensive income for the period</b> |                                 |                          |                              |                                       |
| Profit for the year                              | -                               | -                        | 99                           | 99                                    |
| <b>Transactions with owners</b>                  |                                 |                          |                              |                                       |
| Dividends                                        | -                               | -                        | -                            | -                                     |
| <b>As at 31 March 2023</b>                       | -                               | 689                      | (8)                          | 681                                   |
| <b>Total comprehensive income for the period</b> |                                 |                          |                              |                                       |
| Profit for the year                              | -                               | -                        | 96                           | 96                                    |
| <b>Transactions with owners</b>                  |                                 |                          |                              |                                       |
| Dividends                                        | -                               | -                        | -                            | -                                     |
| <b>As at 31 March 2024</b>                       | -                               | 689                      | 88                           | 777                                   |

The accompanying notes form part of these financial statements.

## Notes to the financial statements (forming part of the financial statements)

### 1 Accounting policies

#### General information

Obsidian Solutions Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 09737564 and the registered address is 60 Gresham Street, London, England, EC2V 7BB.

The Directors note that although these financial statements are not prepared on a going concern basis, these financial statements were otherwise prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

#### Basis of preparation

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs"), but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A (2) and 414B (b) of the Companies Act 2006, the Company has taken the exemption from preparing a strategic report.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting plc are available to the public and may be obtained from 60 Gresham Street, London, England, EC2V 7BB or on the website at [alphafmc.com/investors](http://alphafmc.com/investors).

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRS;
- The requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- The requirements in IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

As the consolidated financial statements of Alpha Financial Markets Consulting plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities; and
- The requirements of IFRS 7 Financial Instruments: Disclosures.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

These financial statements have been prepared on the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

#### Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Group's intentions with respect to the continuation of trade within the entity for that period.

As disclosed in note 14, following the end of the financial year, trading activity in the Company ceased with the operations transferred to other Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions, is a commercial decision taken regarding the Group's strategy and is not the result of any concerns regarding the financial performance of the entity.

As a result, and in accordance with paragraph 25 of IAS 1, the Directors conclude that it is no longer appropriate to adopt the going concern basis for these financial statements, which are instead prepared on a basis that is consistent with IFRS (taking advantage of exemptions available under FRS 101), adjusted to ensure that the assets are stated at the lower of book value and fair value less costs to sell. The Directors have assessed the impact on the financial statements as follows:

## Notes to the financial statements (*continued*)

### 1 Accounting policies (*continued*)

#### Going concern (*continued*)

- Property, plant & equipment: The Directors do not consider there to be any material impact on this balance.
- Amounts owed by/to Group undertakings: Following the intended cessation of trading in the Company, there will be no transfer of existing intercompany balances except for on an arms-length basis, and therefore these balances are deemed to be recoverable at face value at the balance sheet date.
- Trade and other receivables: It is expected that the remaining financial assets of the Company will be traded through, prior to the cessation of trade, and remain recoverable in the same manner as they have been historically. Therefore, there are deemed to be no required changes to the fair value or expected credit loss attached to these balances over and above those that would apply to these balances on a going concern basis.
- Trade and other payables: It is expected that existing financial liabilities will be traded through prior to the cessation of trade, and therefore have a fair value that is equivalent to that which would apply on a going concern basis, as the fair value remains the same.

Further detail on the Company's accounting policies and the basis of preparation of these financial statements can be found below:

#### Principal accounting policies

##### ***Significant judgements and estimates***

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the year ending 31 March 2024.

##### ***Revenue recognition***

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to the revenue recognition policy below.

The Directors have not identified any significant estimates in the year ended 31 March 2024.

##### ***Property, plant and equipment***

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

|                    |         |
|--------------------|---------|
| Computer equipment | 3 years |
|--------------------|---------|

Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

##### ***Foreign currency***

Transactions in foreign currencies are translated to the Company's functional currency at the average foreign exchange rate in the month of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the average exchange rate in the month of the transaction and are not retranslated. Foreign exchange differences arising on translation to functional currency are recognised in administration expenses.

## Notes to the financial statements (continued)

### 1 Accounting policies (continued)

#### *Financial instruments*

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Company's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

#### *Financial assets*

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

The Company recognises an expected credit loss provision in relation to financial assets. The simplified method is applied to the Company's trade receivables as described below. The Company's expected credit loss provision on all other financial assets is immaterial as the probability of default is low. Movements in the expected credit loss provision are recognised in profit or loss.

#### *Trade and other receivables*

Trade and other receivables are recognised initially at fair value, equal to the transaction price and subsequently measured at amortised cost, less provision for impairment. The trade receivables balance recorded on the Company's balance sheet are held until realised in cash.

The Company provides services to customers on credit terms. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company considers historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer-specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include: historical collection experience for each customer; the assessed liquidity of key customers within the receivables balance; and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

#### *Amounts owed by Group undertakings*

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Company classifies amounts owed by Group undertakings as current when it expects to recover the amounts within twelve months of the balance sheet date, based on its assessment of the counterparty's ability and intention to settle the balances within this period. All other amounts owed by Group undertakings are considered as non-current assets.

#### *Cash and cash equivalents*

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9. Bank overdrafts that are repayable on demand and are included as a component of cash and cash equivalents.

#### *Financial liabilities*

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2024, the Company had no derivative financial instruments or designated hedge relationships.

Other financial liabilities held by the Company are recognised at amortised cost.

## Notes to the financial statements (*continued*)

### 1 Accounting policies (*continued*)

#### **Financial instruments (*continued*)**

##### *Trade and other payables*

Trade and other payables are initially recognised at fair value, equal to the transaction price, and are subsequently measured at amortised cost. Trade payables due within one year are not discounted.

##### *Amounts owed to Group undertakings*

Amounts owed to Group undertakings are recognised initially at fair value and subsequently measured at amortised cost. Balances due within one year are not discounted.

#### **Impairment of non-financial assets**

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of other assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior years are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

#### **Employee benefits**

##### *Defined contribution plans*

A defined contribution plan is a post-employment benefit plan under which the Company pays fixed contributions into a separate entity and will have a legal or constructive obligation to pay further amounts. Contributions to defined contribution schemes are charged to the statement of comprehensive income as they become payable in accordance with the rules of the scheme. Differences between contributions payable in the year and contributions paid are shown as either accruals or pre-payments in the statement of financial position.

#### **Revenue recognition**

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual licence term.

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the

## **Notes to the financial statements (continued)**

### **1 Accounting policies (continued)**

#### ***Revenue recognition (continued)***

benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset, and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licencing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

#### ***Cost of sales***

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, that are directly attributable to the delivery of services and supporting growth.

With regard to the Company's software licensing arrangements, costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

#### ***Administration expenses***

Administration expenses are defined by management as costs incurred by the Company that are not directly associated with the generation of revenue. This includes items such as head office staff costs, recruitment and professional fees and IT services, which are expensed as incurred. Administration expenses exclude finance income and expenses and taxation, which are presented separately in the profit and loss account.

#### ***Finance income and finance expense***

Finance income includes interest receivable on cash invested. Finance expense includes interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16.

Interest income and interest payable on bank loans or amounts due to certain Group undertakings is recognised in profit or loss as it accrues, using the effective interest method.

## Notes to the financial statements *(continued)*

### 1 Accounting policies *(continued)*

#### **Taxation**

Current and deferred tax is recognised in the profit & loss account.

Current tax is the expected tax payable or receivable on the taxable income for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous periods.

Deferred tax is provided using the balance sheet liability method, providing for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using tax rates enacted or substantively enacted at the balance sheet date.

The carrying amount of deferred tax assets is reviewed at each balance sheet date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities, and when they relate to taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

#### **New accounting standards and interpretations**

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2024. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards and interpretations which are now effective:

- IFRS 17 Insurance Contracts, effective from 1 January 2023;
- Amendments to IFRS 17, effective from 1 January 2023;
- Disclosure of Accounting Policies (Amendments to IAS 1 and IFRS Practice Statement 2), effective from 1 January 2023;
- Definition of Accounting Estimates (Amendments to IAS 8), effective from 1 January 2023;
- Deferred Tax related to Assets and Liabilities arising from a Single Transaction (Amendments to IAS 12), effective from 1 January 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – Application of the exception and disclosure of that fact, effective from 23 May 2023;
- International Tax Reform – Pillar Two Model Rules (Amendments to IAS 12) – other disclosure requirements, effective from 1 January 2023; and
- International Tax Reform — Pillar Two Model Rules (Amendments to the 'IFRS for SMEs' Standard), effective from 29 September 2023 (not yet endorsed by the UK).

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2024.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

### 2 Revenue

|                                                                  | FY 24<br>£000 | FY 23<br>£000 |
|------------------------------------------------------------------|---------------|---------------|
| <i>By activity</i>                                               |               |               |
| Licensing and implementation of software and associated services | 541           | 690           |

### 3 Auditor's remuneration

|                                     | FY 24<br>£000 | FY 23<br>£000 |
|-------------------------------------|---------------|---------------|
| Audit of these financial statements | -             | 39            |

As disclosed on p. 119 of the Group's Annual Report & Accounts 2024, the Company has taken advantage of the parent company guarantee exemption to prepare unaudited accounts in accordance with s479A of the Companies Act 2006. The guarantee is provided by the ultimate controlling party as at 31 March 2024, Alpha Financial Markets Consulting plc. Therefore, there is no audit fee in relation to the FY 24 accounts.

## Notes to the financial statements (continued)

### 4 Staff numbers and costs

The average number of persons employed by the Company (including Directors that are directly employed by the company) during the year, analysed by category, was as follows:

|                                          | Number of employees |       |
|------------------------------------------|---------------------|-------|
|                                          | FY 24               | FY 23 |
| Administrative                           | -                   | 1     |
| Average number of employees for the year | -                   | 1     |

The aggregate payroll costs of these persons were as follows:

|                                             | FY 24 | FY 23 |
|---------------------------------------------|-------|-------|
|                                             | £000  | £000  |
| Wages and salaries                          | 92    | 130   |
| Social security costs                       | 8     | 7     |
| Contributions to defined contribution plans | 2     | 2     |
| Total staff costs for the year              | 102   | 139   |

### 5 Directors' remuneration

In FY 24 and FY 23 all directors were remunerated through other Group entities and provided no material qualifying services to the Company.

### 6 Taxation

|                                                | FY 24 |      | FY 23 |      |
|------------------------------------------------|-------|------|-------|------|
|                                                | £000  | £000 | £000  | £000 |
| <i>Current tax</i>                             |       |      |       |      |
| Current tax on income for the period           |       | -    |       | -    |
| Group relief payable                           |       | 33   |       | 24   |
| Adjustments in respect of prior periods        |       | -    |       | -    |
| Total current tax                              |       | 33   |       | 24   |
| <i>Deferred tax</i>                            |       |      |       |      |
| Origination and reversal of timing differences | (1)   |      | (1)   |      |
| Effect of tax rate change on opening balances  | -     |      | -     |      |
| Adjustments in respect of prior periods        | -     |      | -     |      |
|                                                |       | (1)  |       | (1)  |
| Total deferred tax                             |       | 32   |       | 23   |

The Finance Act 2022 increased the main rate of corporation tax in the UK to 25% from 1 April 2023. The deferred tax balances reflect this substantively enacted rate in the current and prior years.

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

|                                                           | FY 24 | FY 23 |
|-----------------------------------------------------------|-------|-------|
|                                                           | £000  | £000  |
| Profit before taxation                                    | 128   | 122   |
| Tax using the UK corporation tax rate of 25% (FY 23: 19%) | 32    | 23    |
| Group relief claimed                                      | (33)  | (24)  |
| Payment received for group relief                         | 33    | 24    |
| Total tax expense for the year                            | 32    | 23    |

## Notes to the financial statements (continued)

### 7 Property, plant and equipment

|                                    | Computer<br>equipment<br>£000 |
|------------------------------------|-------------------------------|
| <b>Cost</b>                        |                               |
| Balance at 1 April 2023            | 28                            |
| Acquisitions                       | -                             |
| Disposals                          | (6)                           |
| Balance at 31 March 2024           | <u>22</u>                     |
| <b>Depreciation and impairment</b> |                               |
| Balance at 1 April 2023            | (24)                          |
| Depreciation charge for the year   | (2)                           |
| Disposals                          | 6                             |
| Balance at 31 March 2024           | <u>(20)</u>                   |
| <b>Net book value</b>              |                               |
| <b>At 31 March 2024</b>            | <u><b>2</b></u>               |
| At 1 April 2023                    | <u>4</u>                      |

### 8 Trade and other receivables

|                                    | FY 24<br>£000 | FY 23<br>£000 |
|------------------------------------|---------------|---------------|
| Trade receivables                  | 28            | 28            |
| Amounts owed by Group undertakings | 921           | 4             |
| Capitalised implementation costs   | 11            | 23            |
| Other receivables                  | -             | 4             |
| Total amounts due within one year  | <u>960</u>    | <u>59</u>     |

Amounts owed by Group undertakings are interest free and are repayable on demand. As at 31 March 2024, amounts owed by Group undertakings of £nil (FY23: £697,000) are presented separately as non-current assets on the balance sheet.

The Directors are satisfied that all outstanding amounts from subsidiary group undertakings are recoverable. Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Amounts relating to the capitalisation of non-distinct software implementation costs, incurred in advance of the commencement of the client's licence period, are recognised in current and non-current assets. Non-current capitalised implementation costs of £1,000 (FY 23: £11,000) are presented on the face of the balance sheet. These current and non-current implementation assets in relation to Obsidian contracts are amortised over an expected life equivalent to the contracted licence period. Amortisation recognised in the period in respect of these costs amounted to £22,000 (FY 23: £73,000). No impairment was deemed necessary in the period. No significant judgements have been made in determining the amount of costs to be capitalised, which primarily comprise costs within scope of IAS 19 Employee Benefits.

### 9 Cash and cash equivalents

|                           | FY 24<br>£000 | FY 23<br>£000 |
|---------------------------|---------------|---------------|
| Cash at bank              | 282           | 275           |
| Cash and cash equivalents | <u>282</u>    | <u>275</u>    |

All cash and cash equivalents held by the Company are available for use by the Company with no restrictions.

## Notes to the financial statements (continued)

### 10 Trade and other payables

|                                    | FY 24<br>£000 | FY 23<br>£000 |
|------------------------------------|---------------|---------------|
| Amounts owed to Group undertakings | 409           | 210           |
| Deferred income                    | 13            | 33            |
| Accruals                           | 40            | 106           |
| Other creditors                    | 3             | -             |
| Total amounts owed within one year | <u>465</u>    | <u>349</u>    |

Amounts owed to Group undertakings are non-interest-bearing and are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on timing differences between satisfaction of the performance obligations relating to software licensing and the underlying billing schedule. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period.

|                                                            | FY 24<br>£000 | FY 23<br>£000 |
|------------------------------------------------------------|---------------|---------------|
| Contract liabilities at the start of the year              | 49            | 126           |
| Increase in contract liabilities during the year           | -             | 3             |
| Contract liabilities recognised in revenue during the year | (33)          | (80)          |
|                                                            | <u>16</u>     | <u>49</u>     |

### 11 Share capital

|                                                | FY 24<br>£ | FY 23<br>£ |
|------------------------------------------------|------------|------------|
| <b>Allotted, called up and fully paid</b>      |            |            |
| 144,219 ordinary shares of £0.001 each         | 144        | 144        |
| 2 ordinary shares of £0.50 each                | 1          | 1          |
| 8,475 preferred ordinary shares at £0.001 each | 8          | 8          |
| Balance at the end of the year                 | <u>153</u> | <u>153</u> |

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

The holders of preference shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. On liquidation, preference shares are repaid before ordinary shares. These preference shares are non-redeemable and dividends associated with the shares are discretionary.

### 12 Related parties

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries within the Alpha Group, and remuneration of the Company's key management personnel. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS 101.

## Notes to the financial statements (*continued*)

### 13 Ultimate parent company

As at 31 March 2024, the ultimate parent company and controlling party was Alpha Financial Markets Consulting plc, a company incorporated in England and Wales.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting plc. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London EC2V 7BB, United Kingdom, or the website [investors.alphafmc.com](https://investors.alphafmc.com).

### 14 Events after the reporting date

#### *Change in control of the Company following the acquisition of the Group by Actium Bidco (UK) Limited*

On 19 August 2024, the Company's ultimate parent company, Alpha Financial Markets Consulting plc, was acquired by Actium Bidco (UK) Limited. Following this acquisition, the shares of Alpha Financial Markets Consulting plc were de-listed from AIM on 20 August 2024 and the company was re-registered as a private limited company under the Companies Act 2006. Actium Bidco (UK) Limited is a wholly owned indirect subsidiary of Actium Topco (UK) Limited, which is owned by certain funds managed by Bridgepoint Advisers Limited.

#### *Cease of trading after the reporting date*

Following the end of the financial year, in May 2024, trading activity in the Company ceased, with the operations transferred to other UK Group entities. This transition reflects the evolution and consolidation of the Group's market-facing propositions and is a commercial decision taken regarding the Group's strategy. As a result, these financial statements have not been prepared on a going concern basis. For further details on the implications of this, please refer to note 1.